

### **ATMOS - Workshop on Sustainability:**

#### **Decoding SEBI's Impact on Sustainability - Keynote by Mr. Amarjeet Singh.**



The **GCCOSS** (Geojit CUSAT Centre of Sustainability Studies) hosted the **ATMOS - Workshop on Sustainability**, a thought-provoking session dedicated to exploring the critical intersection of sustainability, financial markets, and regulatory frameworks. The event was highlighted by a powerful keynote address from **Mr. Amarjeet Singh**, Whole-Time Member of the **Securities and Exchange Board of India (SEBI)**, who shared his insights on the evolving landscape of sustainability regulations and SEBI's role in shaping India's corporate reporting practices.

#### **Mr. Singh's Address: Decoding SEBI's Impact on Sustainability**

Mr. Amarjeet Singh began his keynote by commending the university for its foresight in establishing a sustainability-focused centre in Kochi, emphasizing the need for capacity building in the sector to bridge the growing skills gap. He highlighted the significant potential for this initiative to generate employment opportunities, not only for the state but for the country at large.

In his address, Mr. Singh focused on **SEBI's role** in advancing sustainability in India, particularly through its regulatory influence on corporate disclosures and transparency. He stressed that sustainability reporting has become a key area of interest for global financial regulators, and outlined SEBI's proactive measures in setting high standards for sustainability disclosures within India's corporate sector.

#### **A Global Shift: From Voluntary to Mandatory Sustainability Disclosures**

Mr. Singh explained that the global trend in sustainability disclosures has shifted from voluntary frameworks to mandatory reporting requirements. While India has always maintained a **mandatory disclosure regime**, this movement toward standardized, compulsory reporting is gaining traction worldwide. He pointed out that this shift is being driven by a growing demand for transparency and the need for investors to make well-informed decisions based not only on financial data but also on non-financial performance indicators such as environmental, social, and governance (ESG) factors.

At the core of SEBI's sustainability reporting efforts is the **Business Responsibility and Sustainability Report (BRSR)**, which replaced the earlier **Business Responsibility Report (BRR)**. BRSR is designed to provide a comprehensive framework for companies to disclose both qualitative and quantitative

sustainability data. With over **800 data points** included, the BRSR is a far more detailed and standardized template, and since FY'2022-23, it has been mandatory for listed companies, his presentation also highlighted the 9 NGRBC principles.

### **SEBI's Long-standing Commitment to Sustainability Reporting**

Mr. Singh highlighted SEBI's leadership in sustainability reporting, noting that the regulator started its journey toward mandatory disclosures as far back as 2012. The introduction of the **BRR** for India's top 100 listed companies was a pioneering step, setting the tone for future developments in sustainability reporting. Over the years, SEBI expanded its requirements to include integrated reporting, and in FY'2022-23, BRSR became a mandatory requirement for India's top 1000 listed companies.

In addition to encouraging corporate sustainability reporting, SEBI has also introduced the **BRSR Core**—a subset of the full BRSR that includes **46 key performance indicators (KPIs)** for which **reasonable assurance** will be mandatory starting in 2023-2024. Mr. Singh emphasized the importance of third-party verification and the need for reliable, audited sustainability reports, just as financial statements are audited to ensure credibility.

### **The Global Push for Standardized Sustainability Reporting**

Mr. Singh pointed to the global movement towards standardizing sustainability disclosures, referencing the creation of the **International Sustainability Standards Board (ISSB)** under the **IFRS Foundation**. The ISSB has developed two key disclosure standards: **S1**, which focuses on general sustainability disclosures, and **S2**, which targets climate-related disclosures. These global standards are gaining momentum, with many countries aiming to align their frameworks with the ISSB's templates.

India, Mr. Singh noted, has always been ahead of the curve, developing its own reporting framework, the BRSR, which has helped align Indian corporate disclosures with global standards while addressing the country's unique sustainability challenges. He also pointed out that as the global push toward the ISSB standards gains momentum, India will continue to evaluate how to best integrate these international frameworks with its existing regulations.

### **Climate-Plus: Addressing India's Unique Sustainability Context**

Mr. Singh emphasized that India's approach to sustainability reporting takes a **"climate-plus" approach**, which not only focuses on environmental issues but also incorporates critical **social** and **governance** factors. This is particularly relevant for India, where socio-economic challenges such as economic inequality and universal access to basic services remain pressing concerns.

In the BRSR framework, companies are required to report on both **essential indicators**—which are mandatory—and **leadership indicators**, which provide companies with the flexibility to showcase their leadership in sustainability practices. Mr. Singh highlighted specific metrics such as **Scope 1** and **Scope 2** greenhouse gas emissions as mandatory disclosures, while **Scope 3** emissions remain voluntary for companies to report.

### **Greenwashing: A Growing Regulatory Concern**

One of the most pressing issues in sustainability reporting today is **greenwashing**—the practice of making misleading claims about a company's environmental or sustainability efforts. Mr. Singh addressed the increasing concern over greenwashing, noting that regulators worldwide are becoming more vigilant in scrutinizing companies' sustainability claims to ensure that they are truthful and backed by evidence.

He shared several examples of companies that had been caught misrepresenting their sustainability credentials, including a high-profile case in Brazil where a company falsely claimed that its dams were safe, only for one to collapse, resulting in tragic loss of life. Other cases, such as misleading claims by major financial institutions and airlines, underscore the importance of ensuring that sustainability claims are not only accurate but also verifiable.

### SEBI's Role in Ensuring Credible Sustainability Reporting

Mr. Singh concluded by reinforcing SEBI's commitment to ensuring that companies' sustainability disclosures are credible and actionable. He emphasized that the role of a financial market regulator is not limited to overseeing financial disclosures but must also extend to non-financial disclosures, especially as they have implications for investment decisions.

Through its **mandatory BRSR** reporting framework, third-party assurance mechanisms, and the ongoing evolution of regulatory standards, SEBI is playing a pivotal role in fostering a more transparent, accountable, and sustainable corporate ecosystem in India.

### Conclusion: Moving Towards a Sustainable Future

The **ATMOS - Workshop on Sustainability**, with Mr. Amarjeet Singh's keynote on **Decoding SEBI's Impact on Sustainability**, provided an invaluable platform for understanding the regulatory landscape and the pivotal role of financial markets in driving sustainable practices. As the global sustainability movement continues to gain momentum, India's forward-thinking regulatory approach is setting an example for other nations to follow.

With the ongoing evolution of sustainability standards, transparent reporting frameworks like **BRSR** and efforts to combat greenwashing, the future of corporate sustainability in India looks promising, and SEBI's leadership will continue to play a central role in shaping this future.

